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Task 1: Strategic Analysis Report: Unilever PLC

1. Introduction

Unilever PLC is one of the most successful multinational companies in the fast-moving consumer goods (FMCG) industry with operations in over 190 countries with a diverse portfolio that includes food, beverages, personal care, and household items (Oyedeji, 2025). Unilever was founded in 1929 as margarine producer Margarine Unie in the Netherlands and British soap producer Lever Brothers merged to become a corporate powerhouse with iconic brands such as Dove, Hellmann, Knorr, and Ben and Jerry. The strategic analysis of Unilever focuses on the current strategic position and the future direction of the organisation under the leadership of Hein Schumacher, who assumed the role of CEO in 2023. This analysis uses PESTEL analysis frameworks to analyse the external environmental factors, and the SWOT analysis explore the internal capabilities and competitive positioning at Unilever. The Ansoff Matrix is then used to find the strategic options that are possible. The overall analysis is designed to give evidence-based recommendations on how to sustain the Unilever competitive advantage and bring in solutions to the emerging challenges in a more complex global market place.

2. Strategic Position Analysis

2.1 External Analysis: PESTEL Framework

The external forces that play a major role in the strategic environment of Unilever are evident in the PESTEL analysis (in Appendix 1). Unilever is ***politically*** exposed to complicated regulatory environments in all its international markets, especially that of sustainability and climate regulations. The company is a strong supporter of increased Nationally Determined Contributions (NDCs) at COP30, under which it identifies that private sector investment in climate solutions can be realised through supportive government policies (Unilever PLC, 2025a). This political activity shows that Unilever recognises that positive policy environments directly influence its capacity to meet 2030 climate goals without compromising business expansion.

On the ***economic*** front, Unilever has been dealing with mature markets with a slow growth as well as the dynamic emerging markets. The company has recorded a resilience in its Q3 2025 results with underlying sales growth of 3.9% and volume growth of 1.5%. Yet, the economic pressures differ greatly by region with low market conditions in Brazil affecting performance and with India offering significant growth potential. ***Socially***, the market dynamics are being transformed through the evolving consumer preferences to sustainability, premiumisation and health-conscious products. The Desire at Scale marketing strategy employed at Unilever based on its SASSY framework focuses on these changing consumer expectations by developing brands that form an emotional bond beyond functional value (Unilever PLC, 2025f).

Artificial intelligence has also revolutionised the operations of Unilever ***technologically.*** Advanced content creation using AI allows content to be created 30 times faster than traditional approaches and doubles critical performance indicators such as Video Completion Rate and

Click-Through Rate (Unilever PLC, 2025d). In the context of the ***environment***, the issue of climate change poses risks as well as opportunities. Extreme weather conditions pose a risk to the stability of supply chains, especially agricultural inputs (Unilever PLC, 2025h). ***Legally***, the growth of regulations concerning plastic waste management will necessitate other innovative approaches, which can be seen in the FlexCollect project of Unilever, where recycling flexible plastics is a challenge of its own (Unilever PLC, 2025c).

2.2 Internal Analysis: SWOT Framework

The internal analysis of Unilever (as illustrated in Appendix 2) indicates that the company has significant strengths and weaknesses. Some of its ***strengths*** are a strong brand base across several categories where Beauty and Wellbeing registered underlying sales growth of 5.1% and Personal Care recorded 4.1% growth in the third quarter of 2025 (Unilever PLC, 2025n). Its premiumisation approach has been effective, with new products such as Lynx Fine Fragrance being the top health and beauty product to launch in the UK in 2024 (Unilever PLC, 2025g). The sustainability aspect offers a competitive advantage to Unilever, with regenerative agriculture being adopted on 130,000 hectares of farms worldwide by 2024 (Unilever PLC, 2025h).

Relative to major competitors, the operating margin of Unilever is low. According to Pepper (2025), in 2023, Procter and Gamble recorded an operating margin of 22.1% compared to Unilever which recorded 16.4%. Their performance gap indicates structural inefficiencies and transition of new leadership. In this regard, the company's ***weaknesses*** include portfolio complexity and underperforming segments. For instance, the decision to demerge the Ice Cream business is an indicator that some divisions dilute the overall performance (Unilever PLC, 2025l). Additionally, the historical emphasis on sustainability credentials at Unilever sometimes lost sight of the basic performance in the company, and was criticised by investors (Pepper, 2025).

There are also trends of premiumisation within categories that creates ***opportunities***. The focus on premium innovation by CEO Fernando Fernandez has paid off, as Vaseline has been able to grow its volume by 12 percent despite being a 155-year-old brand (Unilever PLC, 2025j). The Wellbeing segment offers significant growth opportunities, where Liquid I.V. increased its revenues considerably. As stated by Fernandez, this revenue grew from $120 million when Unilever acquire Liquid I.V. to about $1 billion in 2025 (Unilever PLC, 2025j). The major ***threats*** facing Unilever are stiff competition from Nestle, Procter and Gamble, and rising sustainable brands. Also, there is continued volatility in major economies such as Brazil and geopolitical tension to supply chains. The trend toward more natural and organic products by smaller competitors is a threat to the traditional FMCG business models.

2.3 Competitive Position

A combination of external and internal analysis shows that Unilever is in a good but competitive position. Externally, there are opportunities due to positive sustainability trends and technological progress, and challenges due to regulatory complexity and economic instability. Unilever has strong brand equity and innovation capabilities internally but is under margin pressure relative to its competitors. The strategic repositioning of the company under Schumacher focuses on efficiency in its operational processes and purpose-driven activities, and tries to balance investor needs of financial performance with stakeholders' needs of sustainability leadership (Pepper, 2025). This balancing act defines the current competitive position of Unilever that capitalizes on sustainability credentials and enhances the basic business metrics to restore market confidence and provide better shareholders returns. The difficulty is in implementing both of them without impacting either of the goals.

3. Strategic Options

A strategic analysis of Unilever using the Ansoff Matrix (*see* Appendix 3) determines four growth potential trajectories. Each of these trajectories embodies distinct characteristic, risks, and compatibility with the existing company capabilities.

Market Penetration is the least risky option, and involves growing market share in the existing markets using the current products. In the case of Unilever, this entails increased promotional efforts, maximisation of retail relationships and the exploitation of the so-called Desire at Scale marketing strategy. This area remains effective in the performance of the company in Q3 2025 when Dove has grown nearly in the double digits due to the innovation of premium products and effective marketing campaigns (Unilever PLC, 2025n). This strategy has also been improved by AI-assisted content creation, which resulted in a quick reaction to cultural trends, with Sunlight increasing visibility on TikTok by 22.5% due to timely Ramadan content (Unilever PLC, 2025d). Growth potential is however constrained by saturation in mature markets. According to Oyedeji (2025), the competition and sluggish growth of the industry in the FMCG sectors limit the strategies of pure penetration. Possibilities are high based on the available capabilities, yet the marginal returns could decline unless few complementary strategies are implemented.

Market Development entails penetration of new geographical markets or market segments by existing products. This is demonstrated by Unilever expansion focus on India and long-term performance in the US. The large opportunities in India were pointed out by CEO Fernandez who remarked that the 500 million population of central India growing its GDP by 10 per cent, presents the perfect environment to grow volumes (Unilever PLC, 2025j). Likewise, Unilever has established one of the strongest growth footprints of any large company in the US, with the Personal Care category ranking second overall and first in the top 130 US retailers (Unilever PLC, 2025j). This plan is consistent with the brand strength and scale of operations of Unilever. Possible risks are associated with the challenge of cultural adaptation and differing regulations in different markets. There are moderate resource needs, which capitalize on the prevailing product portfolios and demand localized marketing and distribution investments. The compatibility with the universal SDG engagement philosophy of Unilever makes the strategy more appealing, because emerging markets can easily provide an opportunity to respond to the sustainability objectives, and secure commercial growth (Mestdagh et al., 2024).

Product Development is aimed at developing new products in the existing markets, in response to changing consumer preferences. One example of this strategy is the premiumisation strategy by Unilever, where such innovations as Sure Whole-Body Deodorants and Lynx Lower Body Spray have increased the range of deodorants beyond their use in underarms (Unilever PLC, 2025g). The investment in UK fragrance capabilities amounting to £80 million is an indication of its commitment in product innovation (Unilever PLC, 2025g). This strategy has the potential to work as the Wellbeing segment continues its rapid growth with brands such as Liquid I.V. and Nutrafol reaching up to $1 billion (Unilever PLC, 2025j). Yet, product development involves high investment in R&D and execution risk. According to Oyedeji (2025), the differentiation strategy of Unilever is based on natural, sustainable ingredients and innovative formulations. This positioning facilitates product development though innovation is needed to sustain competitive advantage. The feasibility is moderate to high, based on sustaining innovation pipelines, and controlling costs of development.

Diversification is the riskiest approach as it deals with new products in new markets. An example of this strategy can be seen in the case of Unilever attempting to acquire the consumer health business of GSK in 2021 but being opposed by shareholders (Pepper, 2025). On the other hand, the divestment of Graze and demerging of Ice Cream indicates strategic focus instead of diversification (Unilever PLC, 2025l). The present market environment and investor mood support the focus on core competencies. Mestdagh et al. (2024) claim that organisations pursue sustainability through efficiency-based strategies in search of competitive advantage. This focus is diluted by diversification unless it is clearly related to core capabilities. Among the risks are resource dispersion, integration, and stakeholder resistance. In view of recent criticisms by investors about the strategic focus of the management, aggressive diversification does not seem to be in line with current stakeholder expectations.

When comparing these options with the findings in Section 2, it is most feasible to consider a combination of Market Penetration and Product Development. This hybrid model takes advantage of the current market penetration and at the same time responds to premiumisation trends and changing consumer preferences. The plan fits the innovation, brand strength, and sustainability commitments at Unilever. Complementary expansion should be seen in high-growth areas such as India, although this should be second to consolidating presence in core markets. Diversification is the least appealing due to recent strategic errors and shareholders favouring on-point implementation. The suggested strategy will balance between growth aspirations and risk management and leverage on the competitive strengths of Unilever in innovation and brand management.

4. Recommendations

According to the overall strategic analysis, Unilever ought to adopt a combined approach towards Market Penetration based on premiumisation and Product Development with a selective Market Development in the high growth emerging markets. This recommendation makes the right balance between growth imperatives and operational efficiency improvements that are demanded by investors.

Unilever needs to focus on the growth of margins in the short term (12-24 months) by introducing premiumisation strategies in core categories. The results of such innovations as Lynx Fine Fragrance and Sure Whole Body Deodorants prove that people are ready to pay high prices to get high-quality products (Unilever PLC, 2025g). Simultaneously, the fast-tracked introduction of AI into marketing and operations will not only increase efficiency but also preserve the creative effect: 30 percent faster content creation and doubled metrics of engagement have verified (Unilever PLC, 2025d). The demerger of Ice Cream should also be done effectively and focus resources and management towards the other more profitable divisions Beauty and Wellbeing and Personal Care.

The long-term strategic priorities (3-5 years) should involve making sustainability a competitive advantage as opposed to a corporate responsibility exercise. The regenerative agriculture programmes and the climate transition initiatives of Unilever offer differentiation that appeal to the growingly conscious consumer (Unilever PLC, 2025h). Sustainability however, according to Pepper (2025), should not be used to replace financial performance, but complement it. Selective acquisitions or partnerships to extend the Wellbeing portfolio is an attractive growth opportunity, as this segment has proven to be scaleable. Additionally, an expansion into deep market penetration in India helps to capitalise on the demographic and economic tailwinds as well as diversify the geographical concentration of revenue.

This strategic direction will help tackle the main weaknesses as noted in Section 2, especially operating margin gaps compared to competitors, and capitalise on strong brand equity, innovation capabilities, and sustainability leadership. This strategy fits into the framework of Mestdagh et al. (2024), who claim that organisations can act around SDGs with both morality-based purpose and efficiency-based competitive advantage. By combining sustainability and business aims, Unilever will be able to meet the expectations of various stakeholders, as well as provide higher financial value, which will fix the tension between purpose and performance, as discussed by Pepper (2025).

5. Conclusion

This strategic analysis indicates that Unilever has an ambivalent competitive stance with high brand equity and innovation potential and operational efficiency issues. External analysis determines sustainability trends, technological development, and the development of new markets as major opportunities, and regulatory complexity and competitive intensity pose continuous threats. Internal evaluation shows effective premiumisation efforts, sustainability management, but reveals discrepancies between margins and those of rivals such as Procter & Gamble.

Ansoff Matrix analysis of strategic options suggests that combined Market Penetration and Product Development would be the optimal risk-reward balance, enabling the company to capitalise on current competencies and respond to changing consumer preferences. The strategy is backed by selective Market Development in high growth regions and offers a consistent strategic focus to balance investor requirements of financial performance and stakeholder requirements of sustainability leadership.

The recommendations provided places Unilever in a better position to attain sustainable competitive advantage by integrating purpose into commercial agendas, instead of defining them as competing agendas. It should be executed with a disciplined investment allocation, improvement of operational efficiency, and innovation leadership. As Unilever undertakes this change with Schumacher in charge, strategic focus with evident improvements in financial and sustainability metrics will become essential in recovering market trust and ensuring long-term value creation.

Task 2: Strategic Options Evaluation using Suitability, Acceptability, and Feasibility Analysis

1. Introduction

The strategic analysis of task 1 showed that Unilever has solid yet problematic competitive positioning. The company has strong brand equity and innovation drive. It however has gaps in terms of operational efficiency when compared to its competitors such as Procter and Gamble. The sustainability trends, technological development, and the growth of the emerging market were identified as the primary opportunities in the external analysis. There is a continuous threat of regulatory complexity and mounting intensity of competition. The internal evaluation revealed effective premiumisation projects and sustainability leadership. But margin gaps and portfolio complexity are still problems.

This assessment uses the Suitability-Acceptability-Feasibility (SAF) model of evaluating strategic options in a systematic way. The SAF framework offers a wide-ranged assessment criteria that ensure that strategic decisions consider both the external opportunities and internal capabilities (Zolfani et al., 2021). Suitability looks at strategic fit against organisational position. Acceptability deals with the expectations of stakeholders in terms of risk and returns. Feasibility evaluates the ability to implement with the resources available. This discussion focuses on three strategic alternatives, which are accelerated premiumisation, selective market development, and digital transformation.

2. Identification of Strategic Options

According to the analysis in Task 1, three strategic alternatives can be identified as viable ways in which Unilever can proceed to its future. They each respond to existing market dynamics and address strengths, weaknesses, opportunities, and threats.

a) Accelerated Premiumisation Strategy:

This strategy entails the gradual enhancement of products in all business units in terms of better formulations as well as high-end positioning. It is based on successful innovations, such as Lynx Fine Fragrance and whole body deodorants, and focuses on the SASSY framework dimensions (Unilever PLC, 2025d). It is implemented through the investment of the fragrance facility in the UK, which will cost £80 million and a larger fragment of the Beauty AI Studio (Unilever PLC, 2025g). The strategic justification focuses on growth of margin in terms of value instead of volume. This helps to overcome the constraints of mature markets and use the strength of Unilever as an innovative brand.

b) Selective Market Development in Growth Regions:

This alternative is aimed at increasing market penetration in the selected high-growth emerging markets, especially India. This move takes advantage of demographic tailwinds with India contributing 14% of current revenue and 10% GDP growth in central regions (Unilever PLC, 2025j). The implementation would entail more distribution density, localisation of product portfolios and development of manufacturing capacity. It is critical to strengthen retail relationships in markets of interest. The strategic rationale focuses on the availability of growth markets with significantly greater growth prospects than the developed Western markets.

c) Digitalization and AI Implementation:

This strategy speeds up the digital and artificial intelligence adoption in operations. It goes beyond the existing marketing applications to supply chain optimisation and demand forecasting. Following the proven achievements of AI that can create content 30% faster, this strategy involves extensive investment in digital infrastructure (Unilever PLC, 2025d). It includes e-commerce capacity improvement, data analytic sophistication, and organisation-wide digital proficiency as its key aspects. The strategic justification focuses on increases in the operational efficiency and improved consumer understanding.

Table 1: Summary of Strategic Options

Strategic Option	Primary Focus	Key Activities	Expected Outcome
Accelerated Premiumisation	Margin expansion	Innovation investment, SASSY implementation	Higher margins, enhanced brand equity

Selective Market Development	Geographic expansion	India focus, distribution expansion	Volume growth, revenue diversification
Digital Transformation	Technology advantage	AI integration, e-commerce enhancement	Operational efficiency, consumer insights

3. Suitability Analysis

Suitability analyses the effectiveness of each strategic option in responding to the strategic position of Unilever. It assesses how the options capitalise on their strengths, respond to weaknesses, seize opportunities, and mitigate threats (Zolfani et al., 2021).

Accelerated Premiumisation – Suitability Assessment

Accelerated premiumisation shows a high level of suitability because it makes use of various core competencies. The option exploits the innovation potentials of Unilever. Vaseline recorded 12% growth in volume even at 155-year heritage (Unilever PLC, 2025j). Lynx Fine Fragrance was the leading health and beauty launch in the UK in 2024 (Unilever PLC, 2025g). The approach capitalises on the existing brand equity in portfolios. Indicatively, the Dove, Hellmanns and Knorr brands have high consumer loyalty which offers a foundation of premium positioning. Premiumisation fits well with published consumer trends of health, wellness, and self-indulgence expenditures. Individuals living alone and with their partners are more willing to make high-end purchases (Unilever PLC, 2025j).

In the case of weaknesses, premiumisation directly tackles the acute operating margin disparity with competitors. Whereas Procter and Gamble recorded 22.1% operating margin in 2023, Unilever recorded only 16.4% (Pepper, 2025). Premium positioning allows a premium to be set without a commensurate increase in cost. This helps in the expansion of margin targets. The UK fragrance investment of £80 million is an example of the commitment to vertical integration (Unilever PLC, 2025g). This minimises external reliance and maximises the innovation possibilities. Premiumisation, however, might not be enough to solve portfolio complexity issues. Additional rationalisation is still required.

Premiumisation provides great opportunity exploitation. The strategy leverages the identified obsession with premiumisation led by CEO Fernandez as a result of digitisation increasing consumer awareness (Unilever PLC, 2025j). The transformation of household structures inclines towards self-indulgent spending patterns. The five years of double-digit growth of the Wellbeing segment confirm the viability of the premium strategy. Liquid I. V. and Nutrafol had grown to 1 billion dollars (Unilever PLC, 2025j). Sustainability positioning offers genuine premium differentiation. Regenerative agriculture on 130,000 hectares clearly shows physical commitments on environment that can be felt by conscious consumers (Unilever PLC, 2025h).

The threat mitigation capability is moderate. To some extent, premiumisation mitigates the competitive rivalry by changing competition based on pure prices to value dimensions. Nonetheless, its competitors such as Procter and Gamble have similar capabilities on innovation. They can react by offering high-end products. Economic fluctuations indicate the risks as premium products become more price-elastic in times of declines. The strategy deals with the constraints of slow growth in mature markets effectively. It facilitates value growth instead of volume growth.

Selective Market Development in Growth Regions– Suitability Assessment

The suitability of market development in high growth areas is excellent as it builds on the available product portfolios and operational strengths. The presence of Unilever in 190+ countries offer infrastructural premises to further penetration (Oyedeji, 2025). Market development execution capabilities are justified by the five straight quarters of more than 4 percent volume growth in the US (Unilever PLC, 2025j). Established brands only need a little adjustment to new markets. This saves time and cost of investment as compared to new product development.

Mitigation of weaknesses by market development is narrow. The strategy does not specifically deal with gaps in the operating margin. It may also increase the profitability problems in case of expansion within price sensitive emerging markets. Geographic variations in performance, as seen in Brazilian troubles expose the risk of execution (Unilever PLC, 2025n). Nonetheless, diversification of revenue lessens the reliance on established markets. This can deal with structural constraints identified.

The exploitation of opportunity seems to be significant, especially when it comes to India. The 500 million population of the central India with 10% growth in GDP is an extraordinary growth potential (Unilever PLC, 2025j). The 4% volume growth in India and the US essentially anchors company-level volume growth targets of 2 percent and above. This is strategically important. Unilever brands can find ideal environments in emerging markets. Products capitalise on increasing wealth expansion and the growth of middle-class consumption patterns.

The counter-capability of threats is moderate. Market development eliminates the geographic concentration risks and mature market dependency. Nonetheless, there is a high competitive rivalry even in the emerging markets. The same opportunities are sought by Procter and Gamble, Nestle, and local competitors (Oyedeji, 2025). The complexity of regulations in different markets may make it challenging to expand. The volatility in emerging markets is a continuing challenge in the economy. The variations in currencies and political instability demand advanced risk management.

Digitalization and AI Implementation – Suitability Assessment

Digital transformation exhibits moderate-strong suitability through proven success of AI. Some recent successes are a 30 percent increase in content creation speed and a doubling of Video Completion Rates (Unilever PLC, 2025d). Brands such as Sunlight had a 22.5% improvement in their visibility on TikTok. These findings confirm the relevance of technological integration and lay the groundwork to extensive digital strategy. Brand DNAi which guarantees AI-generated content that preserves brand identity is evidence of advanced digital governance practises.

Digital transformation is effective in mitigating weaknesses. Operational efficiency directly responds to margin differences with competitors. The benefits are in the form of automated processes, optimised supply chains and costs of operation. Distribution efficiency is improved through digital commerce capabilities. This resolves the issues of emerging digital platforms where born-digital brands have structural advantages. Nevertheless, digital transformation itself is not a solution to portfolio complexity. The variability in the level of geographic performance demands supplementary strategic measures.

Digitalisation seems to play an important role in opportunity exploitation. Improved consumer insights are made possible through enhanced data analytics. This aids in product development, optimisation of marketing, and individualised engagement. The expansion of e-commerce and rapid commerce associations make the buying experiences flow smoothly (Unilever PLC, 2025f). The AI applications are not only limited to marketing but to supply chain optimisation. Potential comprehensive competitive advantages are offered by demand forecasting and acceleration of innovations.

The capacity to mitigate threats is medium-strong. Digital potential increases the competitive advantage over traditional and born-digital competitors. The efficiency of operations and sophistication of consumer engagement increases. Nevertheless, investments in technologies demand high capital. The risks of technological obsolescence arise because AI is developing at a rapid pace. Any competitive advantage can be neutralised by competitors with similar digital strategies. Long-term technological leadership is necessary.

Table 2: Suitability Scoring Matrix

Criteria	Accelerated Premiumisation	Selective Market Development	Digital Transformation
Leverages Strengths	9/10	7/10	8/10
Addresses Weaknesses	8/10	5/10	7/10

Exploits Opportunities	9/10	8/10	7/10
Counters Threats	6/10	6/10	7/10
Overall Suitability	**8.0/10**	**6.5/10**	**7.25/10**

4. Acceptability Analysis

Acceptability looks at how strategic options help satisfy stakeholder expectations on risk, return, and strategic performance (Zolfani et al., 2021).

Shareholder Perspective

The accelerated premiumisation proves to have high shareholder acceptability due to the transparent value creation channels. The increase in margin directly improves profitability, which deals with the criticisms of the investors towards its performance against its competitors (Pepper, 2025). The strategy has shown premium success storeys that are evidence of its viability. The 12 per cent volume increase of Vaseline and the leadership of the market by Lynx Fine Fragrance depict opportunity. The projected returns seem enticing, and premium placement allows increased margins. Nevertheless, patient capital is required in investment requirements such as the PS80 million fragrance plant. This can potentially be a challenge to short-run oriented investors.

The acceptability of market development is dependent on the profile of the investor. Shareholders who are growth-oriented prefer geographic expansion to the high growth markets. The outstanding potential that India holds is especially appealing. Portfolio resilience is achieved through revenue diversification, minimising dependency on mature markets. But the emerging market risks are relevant to risk-averse investors. There are concerns on currency volatility, political instability and challenges in execution. Recent performance issues in Brazil indicate threats of geographic expansion (Unilever PLC, 2025n).

The acceptability of digital transformation relies on the proven return on investment. Although the recent achievements of AI offer confirmation, extensive digital transformation is capital-intensive. Returns remain uncertain. The risks of technology obsolescence and fast development of AI create uncertainty in the context of long-term value creation. Nonetheless, sustainability in operational efficiency and competitive positioning advantages are attractive to those shareholders who appreciate sustainability of competitive advantage.

Employee and Customer Insight.

Premiumisation strategy shows high degree of acceptability among employees in terms of brand equity and market positioning. This provides career and job security. High attention to premium helps organisations to attract and retain talents. Nevertheless, the requirements of innovation intensity require constant skills development. This could be a challenge to the established employees.

Acceptability of market development depends on an employee's location. In growth markets, internationalisation opens up new opportunities to employees. But it also poses a threat to positions in mature markets where resources are reallocated. Different market entry requirements create cultural challenges.

There is ambivalent employee acceptability in digital transformation. The integration of technology is a threat to positions that are vulnerable to automation. But it provides opportunities to employees who are digitally competent. Major reskilling needs present workforce adjustment challenges.

Accelerated premiumisation is highly acceptable to customers in target segments. Strategy alignment is justified by consumer willingness to pay higher prices on high quality products. Authentic differentiation is offered by sustainability integration. Nevertheless, premium positioning might be opposed by price-sensitive segments.

Table 3: Stakeholder Acceptability Summary

Stakeholder	Premiumisation	Market Development	Digital Transformation
Shareholders	High (margin expansion)	Moderate (growth vs. risk)	Moderate (uncertain ROI)
Employees	High (prestige, security)	Moderate (mixed impacts)	Moderate (reskilling needs)
Customers	High (value alignment)	High (localised relevance)	Moderate (privacy concerns)

5. Feasibility Analysis

Feasibility analyses the ability of Unilever to utilise the available resources and capabilities to achieve strategic options (Zolfani et al., 2021).

Financial Feasibility

Accelerated premiumisation is financially viable. The £80 million investment in UK fragrance is a substantial yet controllable spending in capital (Unilever PLC, 2025g). Premium strategy creates positive cash flows in a relatively short time. Increased margins compensate investment needs. Ecosystems of innovation are available, which offer bases that decrease the rates of incremental investment needs. Financial risks are moderate, mainly with regards to market acceptance in all categories.

The financial feasibility of developing markets depends on the market and approach. Expansion into India will also demand huge capital investment in production capacity and distribution networks. Nevertheless, gradual implementation facilitates capital allocation that is manageable. Currency risks in emerging markets generate volatility in finances that demand complex hedging measures. The greater the geographic expansion, the higher the working capital requirements.

The digital transformation is financially challenging. Extensive investment in technology infrastructure is capital intensive. E-commerce needs resources, data analytics platforms, and AI systems. The risks of technology obsolescence require continued investment. Nonetheless, potential self-fund investments are expected to be operational over medium term.

Human Resource and Operational Feasibility

Premiumisation has good human resource viability. Current innovation capabilities offer skill bases. Capabilities are proven through successful premium launches. The requisite skills are found in the 300,000-influencer network and the AI-enabled marketing teams (Unilever PLC, 2025f). But premium innovation needs to be scaled throughout the portfolio, which demands increased R&D capability.

The human resource feasibility of the market development is moderate. The need to expand internationally requires culturally sensitive, yet locally informed leaders. Unilever has established talent pools with its current global presence. But the rate of growth can put pressure on management.

The digital transformation poses serious human resource issues. Extensive training is required to have comprehensive digital competence. Change management is necessary in cultural transformation to digital-first approaches. Leadership in technology demands the ability to attract specialised talent.

Premiumisation is operationally very practical. Available manufacturing competencies can facilitate high quality product development. Beauty AI Studio provides the foundation of innovation pipes (Unilever PLC, 2025d). The operational feasibility of market development is different across markets. Scaling requires better distribution channels. The viability of digital transformation is not easily achievable. It is a demanding technical effort to integrate legacy IT systems.

Table 4: Feasibility Assessment

Dimension	Premiumisation	Market Development	Digital Transformation
Financial	High	Moderate	Moderate-Low
Human Resources	High	Moderate	Low
Operational	High	Moderate	Moderate-Low
Overall	**High**	**Moderate**	**Moderate-Low**

6. Conclusion and Recommendation

The SAF analysis indicates the accelerated premiumisation to be the most strategic alternative available. It has a high score in suitability (8.0/10), good acceptability, and high feasibility. This is a direct approach to dealing with weaknesses, especially gaps in operating margins relative to competition. It has successfully used its strengths in innovation and brand equity. Premiumisation capitalises on evident consumers' willingness to spend on high quality products.

The opportunity of selective market development is complementary, especially to India expansion. Nevertheless, it reflects moderate challenges of feasibility and geographic execution risks. Digital transformation is strategically significant but very expensive and needs capability development.

Recommended Strategic Direction:

Accelerated premiumisation is the main strategy that Unilever should pursue. This should be supported by selective market development in India and incremental digital transformation. The priorities of implementation are: the implementation of the PS80m fragrance facility in the UK; scaling the Beauty AI Studio to all business groups; introducing India market development pilot; and introducing digital tools supporting premiumisation using enhanced consumer insights. This combination is both short-term margin growth and long-term growth without sacrificing the present capability.

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Appendices

Appendix 1: PESTEL Analysis of Unilever PLC

Political Factors

Unilever does business in 190+ countries with diverse regulatory conditions. Climate policy also plays a central role in the operations, and the company has called on stronger Nationally Determined Contributions (NDCs) at COP30 to open the door to climate investment by the private sector (Unilever PLC, 2025a). The UK operations are influenced by post-Brexit trade arrangements, and the sustainability mandates compel the innovation requirements. Extended Producer Responsibility programmes, specifically plastic packaging, requires active interventions such as the FlexCollect project on compulsory UK flexible plastic collection in 2027 (Unilever PLC, 2025c).

Economic Factors

The market conditions are drastically different between regions. Growth in mature Western markets is sluggish, with Q3 2025 reflecting underlying sales growth of 3.9 per cent and volume growth of 1.5 per cent (Unilever PLC, 2025n). On the other hand, central India depicts 10 percent GDP growth, which offers tremendous growth prospects (Unilever PLC, 2025j). The volatility of raw material prices and currency has put pressure on the margins, and the purchasing power of consumers differs dramatically over demographics and geographies. Shareholders affect strategy choices, and resistance to change was apparent in the unsuccessful acquisition of GSK in 2021 (Pepper, 2025).

Social Factors

Environmental awareness leads to desire of greener products, but not all are ready to pay high prices. Trends of premiumisation indicate a shift in the structure of households, as single and two-people households show a high level of self-indulgent expenditure (Unilever PLC, 2025j). The growth opportunities presented by health and wellbeing focus are seen in how Liquid I.V. has grown, increasing in size between 120 million (2020) and 1 billion (2025) (Unilever PLC, 2025j). Gen Z digital natives demand fast brand reactions to cultural shifts, which is why Unilever pursues its strategy of Desire at Scale with 300,000 influencers (Unilever PLC, 2025f).

Technological Factors

Artificial intelligence will reshape operations and facilitate 30 percent faster content creation and a doubling of engagement measures (Unilever PLC, 2025d). The applications of AI are implemented in marketing (Beauty AI Studio), consumer insights (Recipe Intelligence tool 96% satisfaction), and brand consistency (Brand DNAi). The expansion of e-commerce and speedy business collaborations facilitates smooth shopping experiences. The investment of £80 million in the UK fragrance facility enhances the power of research and development (Unilever PLC, 2025g).

Environmental Factors

Environmental Factors

The climate change has acted as a direct threat to supply chains as droughts have impacted Spanish tomato produce and agricultural production around the world (Unilever PLC, 2025h). The transition to renewable energy provides savings in costs and emission cuts including Indonesian biomethane use and Indian Purchase Power Agreements that achieve 25% reduction in electricity costs (Unilever PLC, 2025b). The use of regenerative agriculture on 130,000 hectares is a solution to climate resilience with goals of 1 million hectares by 2030 (Unilever PLC, 2025h). Water shortage poses threat to ingredient supply, and the needs of the circular economy ensure packaging innovation.

Legal Factors

Different jurisdictions have different regulations regarding product safety and labelling. The innovations such as Odour Adapt Technologytm have intellectual property protection that provides competitive advantages (Unilever PLC, 2025g). Employment legislation influences human resource management and reporting on gender pay in the UK showed that the company was compliant (Unilever PLC, 2025k). In concentrated FMCG markets, strategic choices are limited by competition and antitrust laws.

Appendix 2: SWOT Analysis of Unilever PLC

Strengths

Unilever has strong brand portfolios across various categories with Q3 2025 registering Beauty and Wellbeing growth of 5.1, Personal Care growth of 4.1, Home Care growth of 3.1 and Foods growth of 3.4 (Unilever PLC, 2025n). Premiumisation is achieved by innovation capabilities, and Lynx Fine Fragrance was made number one health and beauty launch in the UK of 2024 (Unilever PLC, 2025g). Vaseline grew its volume by 12% in spite of being 155 years old (Unilever PLC, 2025j). The 130,000 hectares of regenerative agriculture and renewable energy projects offer differentiation to sustainability leadership (Unilever PLC, 2025h). Using AI, 30 percent faster content can be created with twofold engagement rates (Unilever PLC, 2025d). Unilever is second among the top 130 retailers in terms of strong US retailer relationships (Unilever PLC, 2025j).

Weaknesses

The operating margins of 16.4% (2023) are lower than the 22.1 of Procter & Gamble, which reflects gaps in its efficiency (Pepper, 2025). The complexity of a portfolio also requires divestitures, such as the sale of Graze and the demerger of Ice Cream (Unilever PLC, 2025l). The geographic performance is vastly different, with the Brazilian operations being exposed to damp conditions (Unilever PLC, 2025n). Investor criticism pointed to the apparent excessive focus on sustainability over financial performance, and the CEO of the company, Schumacher, admitted to negative effects (Pepper, 2025). The reliance on established markets hinders organic growth, and the penetration of digital business is inferior to that of born-digital competitors.

Opportunities

The acceleration of premiumisation indicates the readiness of consumers to spend money on high-quality products, and digitisation and reorganisation of households contribute to this willingness (Unilever PLC, 2025j). Wellbeing segment growth indicates five years of two-digit market expansion, and several brands have grown to 1 billion dollars (Unilever PLC, 2025j). India is a huge growth potential with a population of 500 million people in the central parts whose GDP is growing at 10 percent (Unilever PLC, 2025j). Additional AI integration is guaranteed to bring about operational efficiency. Sustainability may shift out of cost liability to competitive advantage worth premium spending. Whole body deodorants represent a category expansion through innovation, which tends to open new demand spaces (Unilever PLC, 2025g).

Threats

Market share growth is limited by stiff competition against the likes of Procter and Gamble, Nestle and Colgate-Palmolive (Oyedeji, 2025). Economic instability and inflation put pressure on margins and undermine the purchasing power of consumers. Complex regulation enhances compliance costs, especially with respect to packaging and environmental regulations. Climate change interferes with supply chains by causing droughts and severe weather (Unilever PLC, 2025h). The ever-changing consumer demand, which shifts to natural and plant-based products, disrupts conventional formulations rapidly. Digital disruption facilitates the direct-to-consumer models that do not rely on traditional distribution. Activist investors generate pressure on short-term financial performance that may be in conflict with long-term strategic investments (Pepper, 2025).

Appendix 3: Ansoff's Matrix Application

Market Penetration (Low Risk)

Is oriented at expanding market share in existing markets using current products by enhancing marketing and distribution efforts. The evidence comprises the doubledigit growth of Dove and the success of Vaseline on the premium innovations (Unilever PLC, 2025n). An example of this strategy is the Desire at Scale using AI-based content creation and 300,000 influencers (Unilever PLC, 2025f). The benefits are low risk and quick implementation based on the existing capabilities. The drawbacks are that they have a low growth potential in saturated markets and they face margins push up by promotions. Execution excellence has a good strategic fit but it cannot achieve the necessary growth rates on its own.

Market Development (Moderate Risk)

Comprises penetrating new geographical markets or segments using existing products. India is crucial opportunity with 500 million population and 10 percent GDP growth in central regions

(Unilever PLC, 2025j). The US market records five quarters with over 4% growth in volume despite maturity (Unilever PLC, 2025j). Implementation involves geographical expansion to the high growth emerging markets, segmentation in the existing geographies, and expansion of distribution channels by partnering with e-commerce. It has the benefits of entering high-growth markets and reducing revenue streams. The drawbacks include a lack of familiarity with market dynamics and the risks of poor execution due to poor localisation. Strategic fit is in line with global footprint and operational capabilities.

Product Development (Moderate to High Risk)

Develops new products in existing markets in response to changing tastes. Examples of success include Lynx Fine Fragrance (the number one health and beauty launch of the UK in 2024) with proprietary technology behind whole body deodorants, and Liquid I.V. scaling to the billion dollars (Unilever PLC, 2025g; Unilever PLC, 2025j). This investment of PS80 million in the fragrance facility shows the commitment to R&D (Unilever PLC, 2025g). The focus of implementation is on premiumisation in terms of portfolio and sustainability-oriented innovation. The advantages are that it responds to changing preferences and facilitates premium positioning. Setbacks entail massive investment with low predictability and long development cycles. Strategic fit is closely associated with innovation capabilities and premiumisation strategy, but necessitates a consistent flow of innovation.

Diversification (High Risk)

Introduces new products into new markets, highest risk. The 2021 failed GSK consumer health acquisition (PS50 billion) experience showed that investors were reluctant to undergo massive diversification, with Terry Smith, a shareholder, labeling it as a near death experience (Pepper, 2025). On the other hand, the Graze sale and Ice Cream demerger is more strategic than diversification (Unilever PLC, 2025l). The benefits are the decrease in reliance on the core market and the expansion of more lucrative segments. The drawbacks include utmost risk due to unreliability of both parties, significant resource needs, and the diffusion of attention in administration. Strategic fit does not fit well in the current environment where investors prefer focused implementation than diversification.